

Dubey says the airline's decision to seek legal remedy was a measured response to protect customers and uphold regulations. "Training bonds and notice periods strike a balance between our training investment and operational continuity."

Since 2023, Akasa claims that no pilot has left without serving a notice period.

MULTIFACETED ISSUES

While Akasa has been working to address pilot concerns and attempting to get aircraft deliveries back on schedule, it faces larger, multifaceted issues. Although its 5.5% market share makes it the third-largest player in Indian skies, after IndiGo and Air India, it needs more firepower to grow further.

A significant cause for concern is the airline's financial performance, which remains underwhelming. For financial year 2024-25 (FY25), its standalone net losses widened to ₹1,983 crore, a rise of almost 19% over the previous year. This was primarily driven by higher employee expenses, sharp increases in foreign exchange outlays, and escalating maintenance costs and airport charges.

Analysts say these are structural issues rather than one-off shocks, which means they will continue to pressure profitability. This suggests that fresh capital alone

will not be sufficient to resolve the problem without more profound cost restructuring and efficiency gains.

Yet, alongside these losses, the airline is projecting a very different picture through its operating metrics. Available Seat Kilometres (ASK) expanded by 300%, primarily on a low base, given Akasa's relatively small fleet size, while showing an aggressive fleet and network roll-out. At the same time, unit revenues have been climbing, unit costs are falling, and EBITDAR margins improving by 50-70% annually—all of which suggest that scale is being built efficiently. The airline currently has 30 Boeing 737 MAX in its fleet.

HIGH-MARGIN BUFFERS

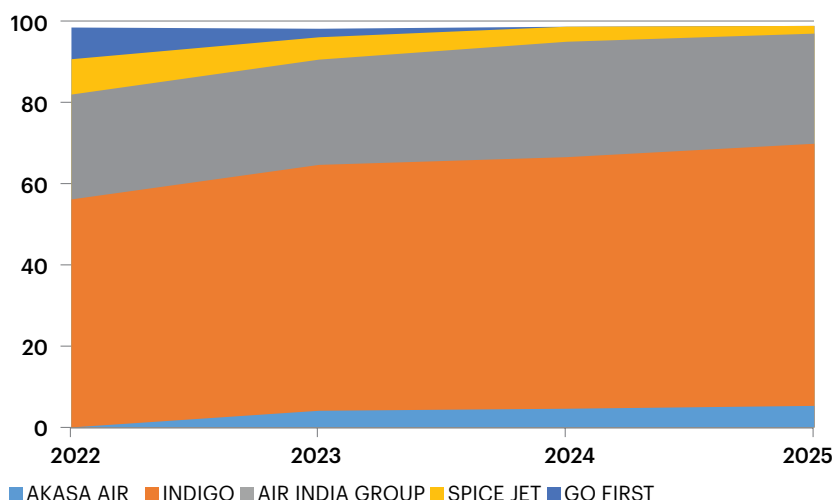
The numbers reinforce this narrative. Revenue grew by 49%, in line with a 48% increase in ASK, demonstrating that demand has absorbed the additional capacity without significant yield dilution. Revenue per ASK (RASK) rose 13%, reflecting better pricing power and revenue management through higher fares, a more potent route mix, and improved load factors.

Cost per ASK excluding fuel (CASK ex-fuel) fell by 7%, signalling efficiency gains from economies of scale, aircraft utilisation, and tighter operating controls. Cargo and ancillary revenues—such as seat selection, baggage,

46

STEADY GAINS

• Akasa has become the third-largest player in the aviation industry after the shutting down of Go First and troubles at SpiceJet



■ AKASA AIR ■ INDIGO ■ AIR INDIA GROUP ■ SPICE JET ■ GO FIRST

MARKET SHARE IN %; SOURCE DGCA



“What it (Akasa Air) needs to do is increase the network and have more flights in key cities. Only then will passengers increasingly start frequenting the airline”

JITENDRA BHARGAVA
FORMER EXECUTIVE
DIRECTOR, AIR INDIA